

IMPACT OF ONLINE FOOD DELIVERING APPS ON RESTAURANTS OF HUBLI

INTRODUCTION:

Food delivery apps have gained much popularity in the past few years, especially after the world got hit by the Covid-19 pandemic. Food delivery apps offer users a convenient and efficient way to order food from their favourite restaurants and deliver it to their doorstep. But now, the food delivery app is not restricted to just homes and offices; you can get the food delivered to activity places and relaxing spots such as beaches. The purpose of these apps is to simplify the food ordering process, allowing customers to browse menus from a vast range of restaurants quickly, select their favourite dishes and pay for the order from comfort. With the app, you will not be getting disturbed while having fun with family and friends or even if you are relaxing at the beach.

And a well-known fact, with the rise of smartphone technology and increased demand for fast and convenient services, food delivery apps have become a go-to solution for many people who want to save time and spend it with their loved ones. These apps also help restaurants to expand their customer base and increase their revenue by reaching to new customers who may have yet to visit their establishment.

Statistics related spendings on online food delivering apps world wide :

- As of 2022 by far, the worldwide online food delivery market reached to \$130.8 billion.
- The revenue is expected to grow at an annual growth rate (CAGR 2023-2028) of 13.2%, resulting in a projected growth volume to approximately USD 275.22 billion by 2028.
- As per Statista, in 2024 the revenue of the e services Online Food Delivery segment Platform-to-Consumer Delivery worldwide would be approximately 97 million USD

The traditional model of food delivery somewhat looks like this — the customer order food over the phone for local delivery and wait for the restaurant courier to deliver the food to your doorstep. However, as we have seen in all other sectors, advances in digital technology are rapidly changing the food market. Having grown accustomed to ordering via websites and

mobile apps with maximum convenience and minimal human interaction, modern shoppers now expect a similar experience when ordering food.

Restaurants offering takeaway services must keep up with the times by developing online ordering apps to retain customers. Digitization of food orders allows for the fast delivery of takeaway food without (or with least) human intervention.

SWIGGY AND ZOMATO:

Swiggy and Zomato are two of the leading online food delivery platforms in India, competing for a share of the rapidly growing market. In this case study, we will compare and contrast their business models, revenue streams, market strategies, strengths and weaknesses, and future prospects.

Business Models

- Swiggy and Zomato have different business models, although they both operate as aggregators that connect customers with restaurants and delivery partners.
- Swiggy focuses on food delivery as its core service, whereas Zomato offers additional services like restaurant discovery, table booking, online grocery delivery, and subscription programs.
- Swiggy has a larger delivery fleet than Zomato, ensuring quicker delivery times and wider coverage.
- Zomato provides a more comprehensive user experience with various features, such as user-generated reviews and ratings, live order tracking, and loyalty programs.

Revenue

Zomato has always dominated the market in terms of revenues since January 2019, until the Covid-19 pandemic hit in April 2020. Swiggy then surpassed Zomato in revenues for several months until December 2020, when Zomato regained its lead. As of June 2021, Zomato reported a revenue of ₹5,705 crore (US\$710 million) for FY22, while Swiggy reported a revenue of ₹4,860 crore (US\$610 million) for FY21.

Monthly Active Users: Zomato also leads with more monthly active users — 32 million compared to Swiggy's 20 million. It seems more foodies are scrolling through Zomato's offerings each month.

OBJECTIVES: To analyse the impact of online food delivering apps on restaurants.

METHODOLOGY: This study is based on the restaurants of hubli city which use online food delivery apps. The study was based on 22 restaurants of hubli city and information was collected through kobo collect app from restaurant owners/managers.

LITERATURE REVIEW:

A Study on 'Influence Of Online Food Delivery Apps On The Operations Of The Restaurant Business' (by **Das, S.S., & Ghose, D., 2019**) discusses the impact on business caused by these apps is considered to be remarkable. These are also cost effective. Online delivering apps Should have profit margins and wide variety. Dealing with shortage of materials and stocks, remaining food is their main concern

The Study Of 'Perspective Of Hoteliers Towards Outsourcing Of Delivery Services With Special Reference To Online Food Delivery Apps' (**P. Bangera., et al., 2024**) showcases the concept of 'dining out' is no more prevalent. One app-many restaurants- this is one of the advantage for the restaurants for instance one restaurant can be registered to more than one apps. they also provide partnerships with banks to provide discount and offers which is a good idea by these apps. Remote area deliveries and consistency makes them more beneficial.

Collison, J., 2020 make us understand that online food delivery is a prime example of e-commerce disrupting traditional markets. They provide profits, but 'brick and mortar sales' suffer – online to offline shift. Online food delivery services provide modest incremental sales but also draws us away from traditional sales. Suggests the online food delivery services are drawing in those who typically do not spend much at restaurants. "cannibalization of brick-mortar sales".

‘A Study on the effectiveness Of Online Food Applications On Registered Restaurants’

(**Abraham, A.,2021**) disucces about the ‘Single touch access’. Several new restaurants have opted for MTO(mode to order) where there is no actual physical hotel.Mobile apps play great role in that. Focus on local customers is required.

‘Digital Food Delivery Apps Revolutionizing Food Products Marketing in India’

(N Thamaraiselvan., **et al., 2019**) states that Companies have based their business stratergies on modern day digital platform to keep pace with customers’ changing needs and preferences.Online delivery has become essential in urban cities,because of the ease with which ordering food in the comfort of the homes and offices has been made possible.

Data sources

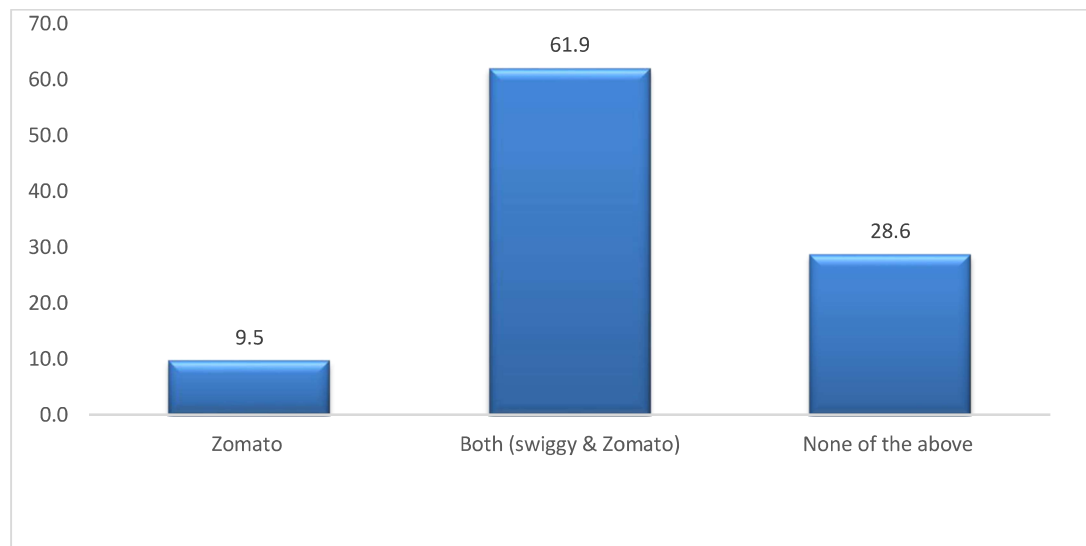
The study is based on primary as well as secondary data.

Primary data: Primary data is collected from the restaurants and food outlets of hubli city through online mode in kobo collect app.

Secondary data: Secondary data required for the study has been collected from the websites, market analysis reports, magazines etc.

RESULT AND DISCUSSIONS:

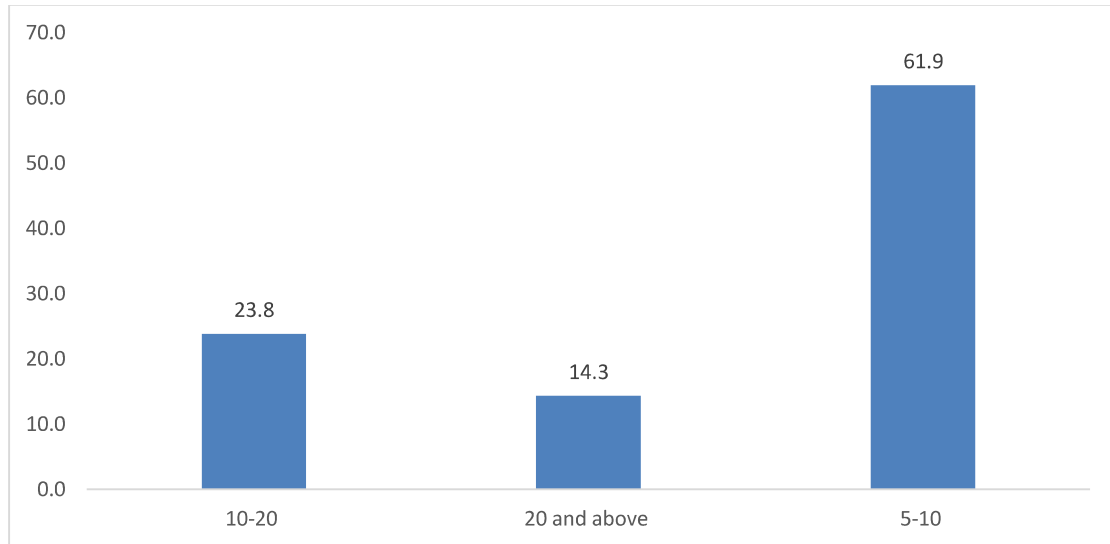
FIG 1: USAGE OF ONLINE FOOD DELIVERING APPS:



Source: field survey

According to the above fig 1 we can see how many restaurants are registered in zomato, swiggy or both the apps. We can see that among 22 restaurants 13.3% are registered in Zomato app, 86.7% are registered in Zomato and swiggy both the apps and remaining restaurants are registered in neither of the apps. We can make analysis that majority of restaurants are registered in both the apps, and the notable point is **that no restaurant has registered in swiggy app only and those registered in Zomato only have registered in Swiggy**. In Hubli city the user base of Swiggy is comparatively less than zomato. Thus, based on the field survey we can conclude that, out of 22 restaurants the existence of Swiggy app is based on zomato app.

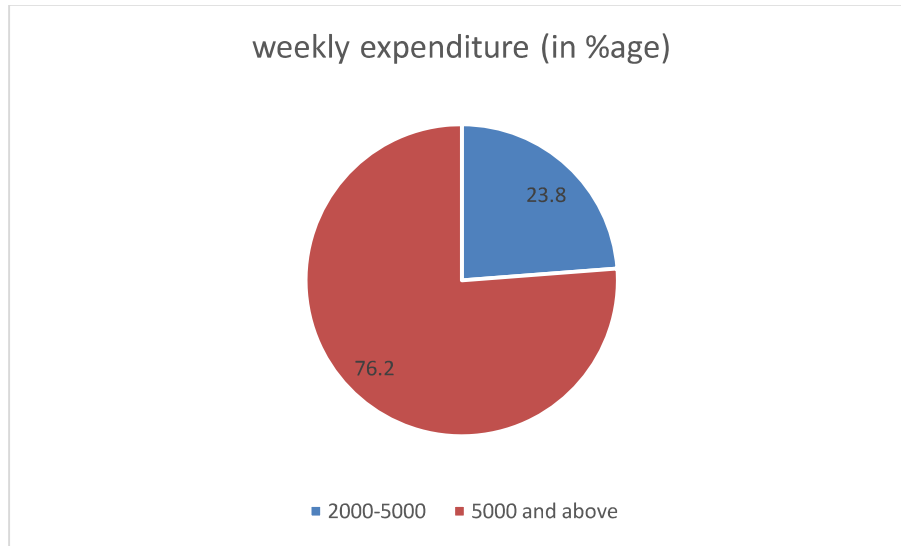
Fig 2: NUMBER OF EMPLOYEES IN RESTAURANTS:



Source: field survey

The above graph illustrates the number of employees working in the 22 restaurants where the field survey was conducted and according to above figure, we can see that 61.9% of the restaurants have employed 5-10 employees, 23.8% of the restaurants have employed 10-20 employees and 14.3% of the restaurants have employed more than 20 people. We can state that most of the restaurants have employees in the range of 5-10 people. The number of employees in the restaurant depends on the location of the restaurant and the revenue generated by the restaurant.

3. WEEKLY EXPENDITURE OF THE RESTAURANTS:



The above pie-chart illustrates the weekly expenditure of the 22 restaurants interviewed for the field survey and according to the above figure, we can see that weekly expenditure of the majority of the restaurants (76.2%) is more than Rs. 5000 and weekly expenditure of 23.8% restaurants is in the range of 2000-5000 rupees. We can state that most of the restaurants spend more than 5000 rupees on their weekly expenditure on raw materials, employee payments etc. However, the expenditure also varies on the demand. Apparently, the restaurants spending more than 5000 rupees have a higher demand and more no of employees compared to the restaurants spending in the range of 2000-5000 rupees.

FINDINGS:

- Both Zomato and swiggy apps are used by the restaurants in Hubli city. During the field work it was noticed that different respondents had different opinions on delivery apps. Although, most of the restaurants were registered in both Swiggy and Zomato there was a higher preference for Zomato by the restaurants.
- Restaurants that were not registered in neither of the apps had different opinions. Few were about to register in the future, some were not sure about registering. The common answer was that they were very busy handling the offline crowds and they would not be able to handle online customers.
- Some restaurant owners also commented on delivery boys and suggested them to be more patient and with the customers and. Few also suggested that apps have to be more careful about the delivery guys they are employing.
- Based on the data collected the weekly expenditure of the most of the restaurants was above RS 5000, the expenditure included the salary of the employees, raw materials etc. The weekly expenditure also varies due to the demands they get.
- Based on the survey, most of the restaurants employed 5-10 employees as it depends upon the area of the restaurant, the income generated. And also those restaurants basic need of employees ranged between 5-10.
- Both the have apps have their set of pros and cons. The opinion can differ, few may like zomato more than swiggy and vice versa.

SUGGESTIONS:

- After interviewing 22 restaurants, the online food delivery apps are a boon to the customers as well as restaurants, overall they had a good impression about both the apps.
- Zomato should perform a proper id verification of the delivery boys as some other person end up coming instead of the actual person and that might cause problems.
- Swiggy should make more restaurants registered to their app which will increase their customer base.
- Delivery boys should be patient with restaurants and manage the customers well, this is the suggestion given by most of the restaurant/food outlet owners.

CONCLUSION:

Many restaurants experienced an increase in sales volume through online orders. This additional revenue stream can be crucial, especially during slower periods or external disruptions like the COVID-19 pandemic. Operational Challenges. While online orders increase revenue, they also add complexity to operations. Restaurants must manage both dine-in customers and online orders efficiently to maintain service quality. Cost. Restaurants typically pay a commission to the online platforms for each order received. They often expect faster service and delivery times, which restaurants must adapt to. Online platforms provide opportunities for restaurants to market themselves effectively. Positive reviews and ratings can attract more customers, while negative feedback can impact reputation. The proliferation of online food delivery apps has increased competition among restaurants. Some restaurants may adjust their menu offerings or portion sizes based on what is popular for delivery versus dine-in.

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